Circular Ref: RBI/FED/2018-19/67 FED Master Direction No.5/2018-19 Date: March 26, 2019

# Master Direction - External Commercial Borrowings, Trade Credits and Structured Obligations

1. General Framework:
Borrowings from non-resident entities by eligible Indian entities are governed by Foreign Exchange Management (Borrowing and Lending in Foreign Exchange) Regulations under FEMA 1999.

2. Routes of ECB:
(a) Automatic Route: For borrowings up to USD 750 million or equivalent per financial year. Requires no prior RBI approval; registration through Authorized Dealer (AD Category-I) bank and Loan Registration Number (LRN) from RBI is mandatory.
(b) Approval Route: For cases exceeding USD 750 million or outside parameters of automatic route, requiring prior Empowered Committee and RBI approval.

3. Minimum Average Maturity Period (MAMP):
The MAMP for ECB shall be 3 years for all general corporate purposes. For ECBs raised by manufacturing companies up to USD 50 million, MAMP may be 1 year.

4. Mandatory Hedging Requirements:
Entities raising foreign currency denominated ECBs with an average maturity of less than 5 years must maintain a minimum 70% financial currency hedge for the entire exposure (principal and coupon).

5. Negative List / End-Use Restrictions:
ECB proceeds cannot be utilized for the following prohibited activities:
(a) Real estate activities or purchase of agricultural land.
(b) Investment in capital market or equity shares.
(c) Working capital and general corporate purposes (except from foreign equity holders with MAMP of 5 years).
(d) On-lending to entities for the above prohibited activities.

6. Reporting and Allotment:
Borrowers shall submit monthly Form ECB-2 returns through AD Category-I banks within 7 working days from the close of the reference month.